Audio file

Dealing With Uncertainty.m4a

Transcript

Welcome to this video in the series Entrepreneurship in Action, Ideation. This one is about the topic into action, dealing with uncertainty. Today's video discussed dealing with uncertainty, the different approaches. We'll discern four different approaches, four prominent approaches that are used by entrepreneurs to deal with uncertainty. We'll talk about business planning, effectuation, clean startup and design thinking. If you want to categorize these different approaches for dealing with uncertainty, we can discern 2 clusters. On the one hand, we have the planning-based approaches. Those planning-based approaches are often used by traditional firms in traditional contexts, and they rely very much on planning. So you try to predict what is happening in the future, and then you build a plan to address that. So beyond business planning, classical planning-based approaches involve SWOT analysis, fortified forces, and a PESTL analysis. On the other hand, we have the flexible or adaptive approaches. So these are more appropriate to use under uncertain situations. So when there is a lot of uncertainty and it's impossible to predict what will happen, in those instances, flexible approaches are often better suited. At the same time, I would like to stress that there is no one best approach and in reality, entrepreneurs will use a combination of different approaches. Let's have a look at the first approach to deal with uncertainty, business planning. So business planning is defined as a rational process of ascertaining a series of potential courses to be taken by the firm and then you determine the firm's position as a result of each of those courses. That allows you to compare the position you can achieve when taking those different course of actions and then you understand what is now the best position to aim for and that's then the corresponding course of action you pick to be followed. Like I said, planning or business planning works better in a situation where there is less uncertainty, which makes it easier to predict what course of action is more likely to lead to success. Let's then move to our first adaptive or flexible way of dealing with uncertainty, effectuation. Here we'll see the effectual cycle introduced by Sarah Swati as one of the founding ladies in effectuation research. So in effectuation, you accept that it's impossible to predict the future, and instead you focus on things you can control. That means you start by the means you have at hand, the means you have at your disposal, and you use that to determine your goals. Based on those means-based goals, you then end up in different interactions that allow you to build pre-commitment with different stakeholders. These pre-commitments in turn leads to new means but also new goals and then you can start the cycle over and that leads to convergence about what you want to achieve. A good way to describe effectuation is

also to contrast it with effectuation and by relying on the analogy of cooking a meal. If you would cook a meal in the effectual approach, you would simply have a look at what ingredients you have available in your fridge and then you would use that combined with your skills in cooking to determine what will you be having for dinner in the evening. A causal approach to cooking a deal instead would be first you pick a recipe, you decide what recipe do I want to follow and then you go to the grocery shopping, make sure you have all the ingredients, you follow the recipe with the instructions and that's how you cook your meal. Let's take a look at another way, another flexible way to deal with uncertainty, the Lean Startup. The Lean Startup was introduced by Eric Reed and assumes again that it's very difficult to predict upfront what you can expect in the future and if you introduce a novel product in the market, whether the customers would like to use it or not. So he introduces a rapid prototyping cycle or a build, measure, learn cycle using minimum viable products to learn how future customers would respond to your technology. So it all starts with generating hypothesis or generating assumptions about who your potential customer will be, assumptions about the technical features you have to deliver to that customer. And then once you have an assumption, you build a prototype and minimum viable product to test that assumption. Say you want to launch a fitness app in the market that allows users to track their goals. You build a first minimum version or even a mock-up, and you share that with potential customers. And then you measure how they respond to it. After a while, we have gathered sufficient data, and that allows you to learn and reflect on the data you've gathered and to decide whether you should continue with the idea or try something else or perhaps make a minor change. A third way of dealing with uncertainty is design thinking. Design thinking is grounded in an iterative, nonlinear process based on user research. So the process there starts with arriving at a problem statement where you're building on the knowledge you have for a particular user. So you really have to empathize with your potential user, try to understand their perspective on a situation, and that allows you then to come up with a problem statement. If you have a problem statement, you can then use that to ideate both different type of solutions, which you then will select one from, you will prototype that solution, and then you will test it with potential users. And then you end up with an iterative process. Depending on the feedback you gather, you can then either go to the beginning again if it does not work, or further prototype and ideate if necessary. Thus, to conclude, what have we learned from this video? Well, first of all, it's important to realize under what environment you're operating. Are you operating in an environment with high uncertainty? Then more flexible approaches are better suited to deal with uncertainty. And then it's better to rely on techniques such as startup, effectuation or design thinking. When uncertainty is low, then you can rely on planning-based approaches such as business planning. That's it for this video. If you want to learn more about those different ways of dealing with uncertainty, we'll have some readings available on the Canvas page. Thanks for watching.